

**SUBSTITUTE FOR
HOUSE BILL NO. 5805**

A bill to amend 1966 PA 346, entitled
"State housing development authority act of 1966,"
by amending section 22 (MCL 125.1422), as amended by 2012 PA 327,
and by adding section 22e.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 22. The authority possesses all powers necessary or
2 convenient to carry out this act, including the following powers in
3 addition to other powers granted by other provisions of this act:

4 (a) To sue and to be sued; to have a seal and to alter the
5 seal at pleasure; to have perpetual succession; to make and execute
6 contracts and other instruments necessary or convenient to the
7 exercise of the powers of the authority; and to make, amend, and
8 repeal bylaws and rules.



1 (b) To undertake and carry out studies and analyses of housing
2 needs within this state and ways of meeting those needs, including
3 data with respect to population and family groups, the distribution
4 of population and family groups according to income, and the amount
5 and quality of available housing and its distribution according to
6 rentals and sales prices, employment, wages, and other factors
7 affecting housing needs and the meeting of housing needs; to make
8 the results of those studies and analyses available to the public
9 and the housing and supply industries; and to engage in research
10 and disseminate information on housing.

11 (c) To agree and comply with conditions attached to federal
12 financial assistance.

13 (d) To survey and investigate housing conditions and needs,
14 both urban and rural, throughout this state and make
15 recommendations to the governor and the legislature regarding
16 legislation and other measures necessary or advisable to alleviate
17 any existing housing shortage in this state.

18 (e) To establish and collect fees and charges in connection
19 with the sale of the authority's publications and the authority's
20 loans, commitments, and ~~servicing,~~ **services**, including, but not
21 limited to, the reimbursement of costs of financing by the
22 authority, service charges, and insurance premiums as the authority
23 determines to be reasonable and as approved by the authority. Fees
24 and charges ~~shall~~ **must** be determined by the authority and ~~shall~~ **are**
25 not ~~be~~ considered to be interest. The authority may use any
26 accumulated fees and charges and interest income for achieving any
27 of the corporate purposes of the authority, to the extent that the
28 fees, charges, and interest income are not pledged to the repayment
29 of bonds and notes of the authority or the interest on those bonds



1 and notes.

2 (f) To encourage community organizations to assist in
3 initiating housing projects as provided in this act.

4 (g) To encourage the salvage of all possible usable housing
5 scheduled for demolition because of highway, school, urban renewal,
6 or other programs by seeking authority for the sponsors of the
7 programs to use funds provided for the demolition of the buildings,
8 to be allocated to those sponsors approved by the authority to
9 defray moving and rehabilitation costs of the buildings.

10 (h) To engage and encourage research in, and to formulate
11 demonstration projects to develop, new and better techniques and
12 methods for increasing the supply of housing for persons eligible
13 for assistance as provided in this act; and to provide technical
14 assistance in the development of housing projects and in the
15 development of programs to improve the quality of life for all the
16 people of this state.

17 (i) To make or purchase loans, including loans for condominium
18 units as **that term is** defined in section 4 of the condominium act,
19 1978 PA 59, MCL 559.104, and ~~including~~ loans to mortgage lenders ~~and~~
20 ~~which~~ **that** are unsecured or the repayments of which are secured by
21 mortgages, security interests, or other forms of security; to
22 purchase and enter into commitments for the purchase of securities,
23 certificates of deposits, time deposits, or mortgage loans from
24 mortgage lenders; to participate in the making or purchasing of
25 unsecured or secured loans and undertake commitments to make,
26 **guarantee**, or purchase unsecured or secured loans; to sell
27 mortgages, security interests, notes, and other instruments or
28 obligations evidencing or securing loans, including certificates
29 evidencing interests in 1 or more loans, at public or private sale;



1 in connection with the sale of an instrument or obligation
2 evidencing or securing 1 or more loans, to service, guarantee
3 payment on, or repurchase the instrument or obligation, whether or
4 not it is in default; to modify or alter mortgages and security
5 interests; to foreclose on any mortgage, security interest, or
6 other form of security; to finance housing units; to commence an
7 action to protect or enforce a right conferred upon the authority
8 by law, mortgage, security agreement, contract, or other agreement;
9 to bid for and purchase property that was the subject of the
10 mortgage, security interest, or other form of security, at a
11 foreclosure or at any other sale, and to acquire or take possession
12 of the property. Upon acquiring or taking possession of the
13 property, the authority may complete, administer, and pay the
14 principal and interest of obligations incurred in connection with
15 the property, and may dispose of and otherwise deal with the
16 property in any manner necessary or desirable to protect the
17 interests of the authority in the property. If the authority or an
18 entity that provides mortgage insurance to the authority acquires
19 property ~~upon~~**on** the default of a borrower, the authority may make
20 a mortgage loan to a subsequent purchaser of that property even if
21 the purchaser does not meet otherwise applicable income limitations
22 and purchase price limits.

23 (j) To set standards for housing projects that receive loans
24 under this act and to provide for inspections to determine
25 compliance with those standards. The standards for construction and
26 rehabilitation of mobile homes, mobile home parks, and mobile home
27 condominium projects shall be established jointly by the authority
28 and the mobile home commission, created in section 3 of the mobile
29 home commission act, 1987 PA 96, MCL 125.2303. However, financing



standards shall be established solely by the authority.

(k) To accept gifts, grants, loans, appropriations, or other aid from the federal, state, or local government, from a subdivision, agency, or instrumentality of a federal, state, or local government, or from a person, corporation, firm, or other organization.

(l) To acquire or contract to acquire from a person, firm, corporation, municipality, or federal or state agency, by grant, purchase, or otherwise, leaseholds or real or personal property, or any interest in a leasehold or real or personal property; to own, hold, clear, improve, and rehabilitate and to sell, assign, exchange, transfer, convey, lease, mortgage, or otherwise dispose of or encumber any interest in a leasehold or real or personal property. This act shall not impede the operation and effect of local zoning, building, and housing ordinances, ordinances relating to subdivision control, land development, or fire prevention, or other ordinances having to do with housing or the development of housing.

(m) To procure insurance against any loss in connection with the property and other assets of the authority.

(n) To invest, at the discretion of the authority, funds held in reserve or sinking funds, or money not required for immediate use or disbursement, in obligations of this state or of the United States, in obligations the principal and interest of which are guaranteed by this state or the United States, or in other obligations as may be approved by the state treasurer.

(o) To promulgate rules necessary to carry out the purposes of this act and to exercise the powers expressly granted in this act ~~pursuant to~~ **under** the administrative procedures act of 1969, 1969



1 PA 306, MCL 24.201 to 24.328.

2 (p) To enter into agreements with nonprofit housing
3 corporations, consumer housing cooperatives, limited dividend
4 housing corporations, mobile home park corporations, and mobile
5 home park associations that provide for regulation by the authority
6 of the planning, development, and management of any housing project
7 undertaken by nonprofit housing corporations, consumer housing
8 cooperatives, limited dividend housing corporations, mobile home
9 park corporations, and mobile home park associations and that
10 provide for the disposition of the property and franchises of those
11 corporations, cooperatives, and associations.

12 (q) To appoint to the board of directors of a nonprofit
13 housing corporation, consumer housing cooperative, limited dividend
14 housing corporation, mobile home park corporation, or mobile home
15 park association, a number of new directors sufficient to
16 constitute a majority of the board notwithstanding other provisions
17 of the articles of incorporation or other provisions of law.
18 Directors appointed under this subsection need not be stockholders
19 or members or meet other qualifications that may be described by
20 the certificate of incorporation or bylaws. In the absence of fraud
21 or bad faith, directors appointed under this subsection shall not
22 be personally liable for debts, obligations, or liabilities of the
23 corporation or association. The authority may appoint directors
24 under this subsection only if 1 or more of the following occur:

25 (i) The nonprofit housing corporation, consumer housing
26 cooperative, limited dividend housing corporation, mobile home park
27 corporation, or mobile home park association has received a loan or
28 advance, as provided for in this act, and the authority determines
29 that the loan or advance is in jeopardy of not being repaid.



(ii) The nonprofit housing corporation, consumer housing cooperative, limited dividend housing corporation, mobile home park corporation, or mobile home park association received a loan or advance as provided for in this act and the authority determines that the proposed housing project for which the loan or advance was made is in jeopardy of not being constructed.

(iii) The authority determines that ~~some~~ **any of the following apply:**

(A) **Some** part of the net income or net earnings of the nonprofit housing corporation is inuring to the benefit of a private individual, firm, corporation, partnership, or association. ~~; the authority determines that an~~

(B) **An** unreasonable part of the net income or net earnings of the consumer housing cooperative is inuring to the benefit of a private individual, firm, corporation, partnership, or association. ~~; or the authority determines that some~~

(C) **Some** part of the net income or net earnings of the limited dividend housing corporation, in excess of that permitted by other provisions of this act, is inuring to the benefit of a private individual, firm, corporation, partnership, or association.

(iv) The authority determines that the nonprofit corporation or consumer housing cooperative is in some manner controlled by, under the direction of, or acting in the substantial interest of a private individual, firm, corporation, partnership, or association seeking to derive benefit or gain from, or seeking to eliminate or minimize losses in any dealings or transactions with, the nonprofit corporation or consumer housing cooperative. ~~However, this~~ **This** subparagraph ~~shall apply~~ **applies** to individual cooperators in consumer housing cooperatives only in circumstances defined by the



1 authority in its rules.

2 (v) The authority determines that the nonprofit housing
3 corporation, consumer housing cooperative, limited dividend housing
4 corporation, mobile home park corporation, or mobile home park
5 association is in violation of the rules promulgated under this
6 section.

7 (vi) The authority determines that the nonprofit housing
8 corporation, consumer housing cooperative, limited dividend housing
9 corporation, mobile home park corporation, or mobile home park
10 association is in violation of 1 or more agreements entered into
11 with the authority that provide for regulation by the authority of
12 the planning, development, and management of a housing project
13 undertaken by the nonprofit housing corporation, consumer housing
14 cooperative, limited dividend housing corporation, mobile home park
15 corporation, or mobile home park association or that provide for
16 the disposition of the property and franchises of the corporation,
17 cooperative, or association.

18 (r) To ~~give approval~~ **approve** or consent to ~~the~~ **any of the**
19 **following:**

20 (i) **The** articles of incorporation submitted to the authority by
21 a corporation seeking approval as a nonprofit housing corporation,
22 consumer housing cooperative, limited dividend housing corporation,
23 or mobile home park corporation under chapter 4, 5, 6, or 8. ~~to~~
24 ~~give approval or consent to the~~

25 (ii) **The** partnership agreement, joint venture agreement, trust
26 agreement, or other document of basic organization of a limited
27 dividend housing association under chapter 7 or mobile home park
28 association under chapter 9.

29 (s) To engage the services of private consultants on a



1 contract basis for rendering professional and technical assistance
2 and advice.

3 (t) To lease real or personal property, **to operate as the sole**
4 **statewide public housing agency**, and to accept federal funds for,
5 and participate in, federal programs of housing assistance. **As used**
6 **in this subdivision, "public housing agency" means that term as**
7 **defined under 42 USC 1437a.**

8 (u) To review and approve rental charges for authority-
9 financed housing projects and require whatever changes the
10 authority determines to be necessary. The changes ~~shall become~~ **are**
11 effective ~~after~~ not less than 30 ~~days'~~ **days after** written notice is
12 given to the residents of the affected authority-financed housing
13 projects.

14 (v) To set forth in the various loan documents of the
15 authority those restrictions on the sale, conveyance by land
16 contract, or transfer of residential real property, housing
17 projects, or housing units for which a note is held by the
18 authority and restrictions on the assumption by subsequent
19 purchasers of loans originated by and held by, or originated for
20 purchase by and held by, the authority as the authority determines
21 to be necessary in order to comply with requirements of federal
22 statutes, federal rules or regulations promulgated under 5 USC 551
23 to 559, state statutes, or state rules promulgated under the
24 administrative procedures act of 1969, 1969 PA 306, MCL 24.201 to
25 24.328, or to obtain and maintain the tax exempt status of
26 authority bonds and notes. ~~However, the~~ **The** authority shall not use
27 a due on sale or acceleration clause solely for the purpose of
28 renegotiating the interest rate on a loan made with respect to an
29 owner-occupied single-family housing unit. Without limiting the



1 authority's power to establish other restrictions, as provided in
2 this section, on the sale, conveyance by land contract, or transfer
3 of residential real property, housing projects, or housing units
4 for which a note is held by the authority and the assumption by
5 subsequent purchasers of loans made or purchased by the authority,
6 the authority shall provide in its loan documents relating to a
7 single family loan that the single family loan may be assumed by a
8 new purchaser only when the new purchaser qualifies under the
9 authority income limitations rules, unless such a restriction
10 diminishes or precludes the insurance or a guarantee by an agency
11 of the federal government with respect to the single family loan. A
12 loan made for a mobile home that the borrower does not intend to
13 permanently affix to real property shall become immediately due and
14 payable if the mobile home is moved out of the state. Any
15 restrictions on conveyance by sale, conveyance by land contract, or
16 transfer that are authorized in this section ~~shall~~ apply only to
17 loans originated by and held by, or originated for purchase by and
18 held by, the authority and may, at the option of the authority, be
19 enforced by accelerating and declaring immediately due and payable
20 all sums evidenced by the note held by the authority. An
21 acceleration and declaration of all sums to be due and payable on
22 conveyance by sale, land contract, or transfer is not an
23 unreasonable restraint on alienation. An acceleration and
24 declaration, unless otherwise prohibited in this subdivision, of
25 all sums to be due and payable under this subdivision is
26 enforceable in any court of competent jurisdiction. This
27 subdivision ~~is applicable~~ **applies** to secured and unsecured loans ~~-~~
28 ~~This subdivision is also applicable to~~ **and** loan documents utilized
29 in conjunction with an authority-operated program of residential



1 rehabilitation by an entity cooperating or participating with the
2 authority under section 22a(4), if the loans are originated with
3 the intent to sell those loans to the authority.

4 (w) To set forth in the various loan documents of the
5 authority remedies for the making of a false statement,
6 representation, or pretense or a material misstatement by a
7 borrower during the loan application process. Without limiting the
8 authority's power to pursue other remedies, the authority shall
9 provide in its loan documents that, if a borrower makes a false
10 statement, representation, or pretense or a material misstatement
11 during the loan application process, the authority, at its option,
12 may accelerate and declare immediately due and payable all sums
13 evidenced by the note held by the authority. An acceleration and
14 declaration of all sums to be due and payable as provided in this
15 subdivision is enforceable in any court of competent jurisdiction.
16 This subdivision ~~is applicable~~ **applies** to secured and unsecured
17 loans.

18 (x) To collect interest on a real estate loan, the primary
19 security for which is not a first lien on real estate, at the rate
20 of 15% or less per annum on the unpaid balance. This subdivision
21 does not impair the validity of a transaction or rate of interest
22 that is lawful ~~without regard to~~ **notwithstanding** this subdivision.

23 (y) To encourage and engage or participate in programs to
24 accomplish the preservation of housing in this state available for
25 occupancy by persons and families of low or moderate income.

26 (z) To verify for the state treasurer statements submitted by
27 a city, village, township, or county as to exempt properties under
28 section 7d of the general property tax act, 1893 PA 206, MCL
29 211.7d.



1 (aa) For the purpose of more effectively managing its debt
2 service, to enter into an interest rate exchange or swap, hedge, or
3 similar agreement with respect to its bonds or notes on the terms
4 and payable from the sources and with the security, if any, as
5 determined by a resolution of the authority.

6 (bb) To make working capital loans to contractors or
7 subcontractors on housing projects financed by the authority. The
8 authority shall submit an annual report to the legislature
9 containing the amount, recipient, duration, circumstance, and other
10 related statistics for each capital loan made to a contractor or
11 subcontractor under this subdivision. The authority shall include
12 in the report statistics related to the cost of improvements made
13 to adapt property for use by disabled individuals as provided in
14 section 32b or 44.

15 (cc) Subject to rules of the civil service commission, to
16 adopt a code of ethics with respect to its employees that requires
17 disclosure of financial interests, defines and precludes conflicts
18 of interest, and establishes reasonable post-employment
19 restrictions for a period of up to 1 year after an employee
20 terminates employment with the authority.

21 (dd) To impose covenants running with the land in order to
22 satisfy requirements of applicable federal law with respect to
23 housing assisted or to be assisted through federal programs such as
24 the low income housing tax credit program or the home investment
25 partnerships program. These covenants shall be imposed by executing
26 and recording regulatory agreements between the authority, or a
27 municipality or other entity designated by the authority, and the
28 person or entity to be bound. The covenants shall run with the land
29 and be effective with respect to the parties making the covenants



1 and other intended beneficiaries of the covenants, even though
2 there is no privity of estate or privity of contract between the
3 authority and the persons or entities to be bound.

4 (ee) To impose covenants running with the land in order to
5 satisfy requirements of applicable state or federal law with
6 respect to housing financed by the authority. These covenants shall
7 be imposed by executing and recording regulatory agreements between
8 the authority and the person or entity to be bound. The covenants
9 shall run with the land and be effective with respect to the
10 parties making the covenants and other intended beneficiaries of
11 the covenants, even though there is no privity of estate or privity
12 of contract between the authority and the persons or entities to be
13 bound. With respect to any applicable environmental laws, this
14 subdivision does not grant to the authority any additional rights,
15 privileges, or immunities not otherwise afforded to a private
16 lender that is not in the chain of title for the land.

17 (ff) To participate in programs designed to assist persons and
18 families whose incomes do not exceed 115% of the greater of
19 statewide median gross income or the area median gross income
20 become homeowners where loans are made by private lenders for
21 purchase by the government national mortgage association, federal
22 national mortgage association, federal home loan mortgage
23 corporation, or other federally chartered organizations.
24 Participation may include providing or funding homeownership
25 counseling and providing some or all of a reserve fund to be used
26 to pay for losses in excess of insurance coverage.

27 (gg) To invest, under the conditions prescribed in this
28 subdivision and without the consent of the escrow depositors, up to
29 20% of funds held, by or for the authority, in escrow accounts for



1 the benefit of the authority or mortgagors of authority-financed
2 housing. The investments under this subdivision shall be made in
3 loans originated or purchased by the authority for construction or
4 rehabilitation of multifamily housing developments for occupancy by
5 persons or families without regard to income. In connection with
6 loans described in this subdivision, the authority may charge and
7 retain fees in amounts similar to those charged with respect to
8 similar loans for which the source of funding does not come from
9 escrow accounts. For purposes of this subdivision, "escrow account"
10 means any account or reserve held by the authority and established
11 in a mortgage or a regulatory agreement to which the authority is a
12 party or which has been assigned to the authority. ~~However, for~~ **For**
13 purposes of this subdivision, escrow account does not include any
14 account labeled in the associated regulatory agreement as
15 "development cost escrow principal" or "operating assurance
16 reserve". For purposes of this subdivision, "multifamily housing
17 development" means a development in which not less than 50% of the
18 floor space is used primarily for residential purposes. The
19 investment authorized by this subdivision ~~shall~~ **must** not be made
20 unless both of the following requirements are met:

21 (i) The return on the loan is approximately equivalent to that
22 which could be obtained from investments of substantially similar
23 credit quality and maturity, as determined by the authority.

24 (ii) The authority agrees to pay with its own funds the
25 principal balance of any loan, made with the escrow funds, that
26 becomes delinquent in excess of 30 days. This subdivision does not
27 obligate the authority to purchase a delinquent loan so long as
28 with respect to that loan the authority pays to the escrow funds
29 from its own funds the amount of the delinquent payments. The



1 authority's election to pay the delinquent payments to the escrow
 2 funds does not in any manner abate or cure the delinquency of the
 3 loan and the authority may resort to any remedies that would exist
 4 in the absence of that payment.

5 (hh) To acquire, develop, rehabilitate, own, operate, and
 6 enter into contracts with respect to the management and operation
 7 of real and personal property to use as office facilities by the
 8 authority and to enter into leases with respect to facilities not
 9 immediately necessary for the activities of the authority.

10 (ii) To make loans to certain qualified buyers and resident
 11 organizations and to make grants to resident organizations as
 12 provided in the following:

13 (i) The urban homestead act, 1999 PA 127, MCL 125.2701 to
 14 125.2709.

15 (ii) The urban homesteading on vacant land act, 1999 PA 129,
 16 MCL 125.2741 to 125.2748.

17 (iii) The urban homesteading in single-family public housing
 18 act, 1999 PA 128, MCL 125.2761 to 125.2770.

19 (iv) The urban homesteading in multifamily public housing act,
 20 1999 PA 84, MCL 125.2721 to 125.2734.

21 (jj) To implement and administer a housing and community
 22 development program as described in this act.

23 (kk) To implement, administer, or execute administrative,
 24 substantive, or supervisory powers ~~pursuant to~~**under** the individual
 25 or family development account program act, 2006 PA 513, MCL 206.901
 26 to 206.911.

27 **(ll) To establish, implement, and administer the housing**
 28 **opportunity tax credit program under section 22e.**

29 **Sec. 22e. (1) The authority, in cooperation with the**



1 department of treasury, shall establish, implement, and administer
2 a housing opportunity tax credit program to encourage the
3 development of qualified projects in this state.

4 (2) For award cycles beginning on and after January 1, 2027,
5 the authority shall, in conjunction with applications received
6 under section 22b, accept applications for housing opportunity tax
7 credits under this section. Subject to the award cycle cap under
8 subsection (4) and the limitations under this section, the
9 authority shall not issue an award for an annual housing
10 opportunity tax credit under this program for a qualified project
11 that exceeds the lesser of the following:

12 (a) The amount necessary for the financial feasibility of the
13 qualified project.

14 (b) The adjusted annual federal credit amount for the
15 qualified project.

16 (3) A person seeking a housing opportunity tax credit under
17 this section shall submit an application in a form and manner as
18 prescribed by the authority. The authority shall review completed
19 applications for housing opportunity tax credits received for 4%
20 qualified projects on a first-come, first-served basis. The
21 authority shall treat all complete applications received on the
22 same day as having been received simultaneously. If the
23 applications received for 4% qualified projects exceed the portion
24 of the award cycle cap set aside under subsection (4) (b) and (c) on
25 any day, the authority shall establish an evaluation methodology to
26 determine which of the 4% qualified projects applications are
27 approved and issued an award of a housing opportunity tax credit.
28 The evaluation methodology required under this subsection must be
29 limited to factors that maximize efficient unit production,



1 including, but not limited to, each of the following:

2 (a) The amount of the housing opportunity tax credit requested
3 for each unit under the proposed qualified project.

4 (b) The number of units to be preserved or created under the
5 proposed qualified project.

6 (c) The estimated development period of the proposed qualified
7 project from the initial award to placing the proposed qualified
8 project in service.

9 (4) For the 2027 award cycle, the authority shall not allocate
10 a total of more than the base annual amount of \$42,000,000.00 for
11 housing opportunity tax credits under this section. For each award
12 cycle after the 2027 award cycle, to determine the award cycle cap
13 for that award cycle, the base annual amount for the immediately
14 preceding award cycle must be adjusted annually by the percentage
15 increase in the United States Consumer Price Index for the
16 immediately preceding calendar year. The total amount of all
17 housing opportunity tax credits for which an award is issued under
18 this section must not exceed the award cycle cap for any award
19 cycle. For each application window, the authority shall approve and
20 allocate not less than 45% of the award cycle cap for that award
21 cycle to qualified projects to the extent that the authority
22 receives a sufficient number of applications. If, at the end of an
23 application window, the authority has not received a sufficient
24 number of completed applications to allocate the amount set aside
25 under subdivision (a), (b), (c), or (d), the authority may
26 reapportion the unallocated credit amounts to other qualified
27 projects in accordance with the qualified allocation plan or an
28 alternative competitive process. Except as otherwise provided under
29 this subsection, the amount of the award cycle cap allocable for



1 each award cycle must be set aside as follows:

2 (a) Up to 50% to any qualified project at the authority's
3 discretion.

4 (b) Not less than 25% must be available during the application
5 window to 4% qualified projects that are new construction.

6 (c) Not less than 25% must be available during the application
7 window to 4% qualified projects that are preservation.

8 (d) Not less than 30% of the amounts set aside under
9 subdivisions (a) through (c) to qualified projects that are located
10 in a rural area.

11 (5) If the authority approves an application for a housing
12 opportunity tax credit, the authority shall send a binding
13 reservation letter of eligibility to the applicant that states the
14 amount of the housing opportunity tax credit awarded for each year
15 of the qualified project's credit period. The reservation letter
16 must clearly stipulate that the housing opportunity tax credit
17 awarded is contingent on the authority's approval of a final cost
18 certification and the issuance of an eligibility statement. On
19 completion of a qualified project, the owner shall submit a final
20 cost certification and a request for the issuance of an eligibility
21 statement to the authority. On approval of the final cost
22 certification, the authority shall issue an eligibility statement
23 to the owner for the qualified project. The eligibility statement
24 must state the amount of the housing opportunity tax credit that
25 may be claimed against an applicable tax each year of the credit
26 period.

27 (6) If an owner that has been awarded a housing opportunity
28 tax credit for a qualified project under this section is a flow-
29 through entity, the owner may, in a form and manner as prescribed



1 by the authority, allocate all or a portion of the housing
2 opportunity tax credit attributable to that qualified project to
3 some or all of its members, including any not-for-profit entity
4 that is a member, in any manner agreed to by its members,
5 regardless of whether that member is allocated or allowed any
6 portion of any federal low-income housing tax credit with respect
7 to the same qualified project, whether the allocation of the
8 housing opportunity tax credit under the terms of the agreement has
9 substantial economic effect within the meaning of section 704(b) of
10 the internal revenue code, 26 USC 704, and whether the member is
11 deemed a partner for federal income tax purposes. An owner that
12 allocates all or a portion of its housing opportunity tax credit
13 under this subsection shall designate a person to serve as the
14 designated reporter for that housing opportunity tax credit. A
15 flow-through entity that receives an allocation of the housing
16 opportunity tax credit under this subsection, either from the owner
17 of the qualified project or from another flow-through entity, may
18 further allocate the housing opportunity tax credit among some or
19 all of its members in the same manner as the owner. A member of a
20 flow-through entity that is allocated or receives a pass-through of
21 a housing opportunity tax credit under this subsection may assign
22 all or any part of its interest, including its interest in the
23 housing opportunity tax credit.

24 (7) The owner of a qualified project that is awarded a housing
25 opportunity tax credit and issued an eligibility statement shall
26 report any recapture event to the designated reporter, if
27 applicable, the department of treasury, and the authority in the
28 same manner done for the recapture of federal low-income housing
29 tax credits. If the owner of the qualified project is not the only



1 qualified taxpayer that claimed the housing opportunity tax credit
2 attributable to that qualified project against an applicable tax,
3 the designated reporter shall also report the recapture event to
4 each qualified taxpayer that was allocated a housing opportunity
5 tax credit attributable to that same qualified project.

6 (8) For each calendar year of the award cycle, the designated
7 reporter shall do both of the following:

8 (a) Provide the department of treasury, in the form prescribed
9 by the department of treasury, an allocation report containing all
10 of the following information:

11 (i) The name, address, and taxpayer identification number of
12 the owner and each qualified taxpayer that has been allocated a
13 portion of the annual credit awarded on the eligibility statement
14 for that year.

15 (ii) The amount of the annual credit allocated to each
16 qualified taxpayer identified under subparagraph (i) for that year
17 and the applicable tax against which the credit will be claimed.

18 (iii) The total of the amounts listed for each qualified
19 taxpayer under subparagraph (ii), demonstrating that the total does
20 not exceed the amount listed on the eligibility statement for that
21 year.

22 (b) Notify the department of treasury of any changes to the
23 information reported under subdivision (a) (ii) in the time and
24 manner as prescribed by the department of treasury.

25 (9) As used in this section:

26 (a) "Adjusted annual federal credit amount" means 1/6 of the
27 aggregate amount of federal credit awarded to a qualified project
28 over its federal credit period.

29 (b) "Allocation report" means the annual report required to be



1 submitted to the department of treasury under subsection (8) .

2 (c) "Applicable tax" means a tax imposed under the income tax
3 act of 1967, 1967 PA 281, MCL 206.1 to 206.847, or under section
4 476a of the insurance code of 1956, 1956 PA 218, MCL 500.476a.

5 (d) "Application window" means the first quarter, January 1
6 through March 31, or the third quarter, July 1 through September
7 30, of the award cycle. If either the first or last day of the
8 application window falls on a nonbusiness day, then the starting or
9 ending date is the next business day.

10 (e) "Award" means a binding reservation letter of eligibility
11 issued by the authority for a housing opportunity tax credit
12 attributable to a qualified project during an award cycle, setting
13 forth the amount of the housing opportunity tax credit to be
14 claimed in each year of the credit period.

15 (f) "Award cycle" means each calendar year over which the
16 authority approves and allocates housing opportunity tax credits
17 for qualified projects.

18 (g) "Award cycle cap" means the sum of the following:

19 (i) The base annual amount as determined under subsection (4)
20 for each calendar year of the credit period.

21 (ii) The amount, if any, by which the award cycle cap
22 prescribed under this section for the preceding award cycle exceeds
23 the total of all housing opportunity tax credits awarded by the
24 authority in that award cycle.

25 (iii) The amount of housing opportunity credits recaptured or
26 otherwise disallowed under subsection (7) in the preceding calendar
27 year or otherwise returned to the authority since the prior award
28 cycle.

29 (h) "Credit period" means the period of 6 calendar years



beginning with the calendar year in which a building that is part of a qualified project is placed in service. If a qualified project consists of more than 1 building, then the owner may elect to either treat all buildings as 1 project and begin the credit period when the last building is placed in service or treat each building's credit period independently on a building-by-building basis.

(i) "Designated reporter" means the owner of the qualified project or the person designated by the owner under subsection (6).

(j) "Eligibility statement" means a statement issued by the authority to the owner of a qualified project certifying that the project is a qualified project and specifying the amount of the housing opportunity tax credit that may be claimed each year of the credit period, the years that comprise the credit period, the name, address, and taxpayer identification number of the owner, the date of issuance, and any additional information prescribed by the authority.

(k) "Federal credit period" means the 10-year period described under section 42(f) (1) of the internal revenue code, 26 USC 42.

(l) "Federal low-income housing tax credit" or "federal credit" means the credit allowed under section 42 of the internal revenue code, 26 USC 42.

(m) "4% qualified project" means a qualified project that is eligible for both of the following:

(i) A federal low-income housing tax credit under section 42(h) (4) of the internal revenue code, 26 USC 42.

(ii) A bond issued under section 44c for which the authority is not the bondholder with respect to the bond proceeds.

(n) "Flow-through entity" means an entity that for the



1 applicable tax year is treated as a subchapter S corporation under
 2 section 1362(a) of the internal revenue code, 26 USC 1362, a
 3 general partnership, a trust, a limited partnership, a limited
 4 liability partnership, or a limited liability company, and that for
 5 the tax year is not taxed as a corporation for federal income tax
 6 purposes. Flow-through entity does not include any entity treated
 7 as a corporation under section 699 of the income tax act of 1967,
 8 1967 PA 281, MCL 206.699.

9 (o) "Housing opportunity tax credit" means a tax credit
 10 authorized to be claimed against an applicable tax under section
 11 279, 679, or 821 of the income tax act of 1967, 1967 PA 281, MCL
 12 206.279, 206.679, and 206.821, or section 476a of the insurance
 13 code of 1956, 1956 PA 218, MCL 500.476a, whichever is applicable.

14 (p) "Internal revenue code" means the United States internal
 15 revenue code of 1986.

16 (q) "Member", when used in reference to a flow-through entity,
 17 means a shareholder of a subchapter S corporation, a partner in a
 18 general partnership, a limited partnership, or a limited liability
 19 partnership, a member of a limited liability company, or a
 20 beneficiary of a trust that is a flow-through entity, as long as
 21 the shareholder, partner, member, or beneficiary, as applicable, is
 22 considered a shareholder, partner, member, or beneficiary under
 23 applicable state law governing such flow-through entity.

24 (r) "New construction" means newly constructed housing units
 25 and does not include the rehabilitation or acquisition of existing
 26 buildings or adaptive reuse projects. New construction includes the
 27 demolition necessary for the construction of new housing units.

28 (s) "Owner" means a person holding a fee simple interest in a
 29 qualified project or a leasehold interest pursuant to a ground



1 lease in the land on which a qualified project is located.

2 (t) "Person" means an individual, bank, financial institution,
3 insurance company, association, corporation, flow-through entity,
4 receiver, estate, trust, or any other group or combination of
5 groups acting as a unit.

6 (u) "Preservation" means projects that involve rehabilitation
7 of existing housing units or the adaptive re-use of an existing
8 building.

9 (v) "Qualified project" means a qualified low-income building
10 as defined in section 42(c) of the internal revenue code, 26 USC
11 42, that is located in this state, is eligible for the federal low-
12 income housing tax credit, and is placed in service on or after
13 January 1, 2027.

14 (w) "Qualified taxpayer" means a taxpayer that is the owner of
15 a qualified project that was issued an eligibility statement for a
16 housing opportunity tax credit or a taxpayer included on the
17 allocation report that owns a direct or indirect, through the owner
18 or 1 or more flow-through entities, interest in a qualified project
19 for which an eligibility statement was issued for a housing
20 opportunity tax credit and all or a portion of that credit has been
21 allocated to the taxpayer at any time prior to filing an annual or
22 amended return on which a housing opportunity tax credit is claimed
23 against an applicable tax.

24 (x) "Rural area" means a city, village, or township with a
25 population of 35,000 or less, or an area designated as rural as
26 defined by the United States Department of Agriculture or the
27 United States Census Bureau.

28 (y) "Taxpayer" means a person subject to an applicable tax.

29 (z) "United States Consumer Price Index" means the United



1 **States Consumer Price Index for all urban consumers as defined and**
2 **reported by the United States Department of Labor, Bureau of Labor**
3 **Statistics.**

4 Enacting section 1. This amendatory act does not take effect
5 unless all of the following bills of the 103rd Legislature are
6 enacted into law:

7 (a) House Bill No. 5806.

8 (b) House Bill No. 5807.